

Accounting and Accountability

Week 3



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Key concepts

Assets and classifications as current or non-current

Assets and classifications as current or non-current.

Current assets will be used in one year or less.

They include **cash, accounts receivable, inventory.**

Other current assets include **prepaid expenses** and **short-term investments.**

Accounts receivable happens when a business does a job for the customer and earns revenue, but hasn't received the money from the customer yet.

Inventory is what the business buys to sell to customers.

Key concepts

Assets and classifications as current or non-current

Non-current assets are assets that are valuable for a long time, more than one year. Think of the large, expensive assets that you would own for a long time, like equipment, furniture, vehicles, machinery, buildings and land.

Some of these non-current assets also have depreciation to show that they are used over many years. **Deprecation** is when the cost of buying the asset is spread out over the years the asset is used.

Tangible assets are assets you can touch and move.

An **intangible asset** is something that you can't be seen or touched. e.g. patent, trademarks.

Key concepts

What about liabilities?

liabilities are classified based on the time frame in which the liabilities are expected to be settled or paid.

A liability that will be settled in one year or less (generally) is classified as a **current liability**, while a liability that is expected to be settled in more than one year is classified as a **noncurrent liability**.

Examples of current liabilities include **accounts payable**, which is the value of goods or services purchased that will be paid for at a later date, and **notes payable**, which is the value of amounts borrowed (usually not inventory purchases) that will be paid in the future with interest.

An example of a noncurrent liability is a **bank loan** (which are usually repaid over a number of years).

Key concepts

How to record transactions in the sales process

1. Sales for cash

For most retail businesses, this is the most common form of revenue generation. And whether you receive physical or electronic cash, it is all the same Cash account in our transaction recording. If \$350 worth of goods are sold for cash, the transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Unearned revenue		+ Share cap	- Dividends	+ Revenues	- Expenses
+ 350							+ 350	

Key concepts

How to record transactions in the sales process

2. Sales made on credit

For many wholesale businesses, sales are made on credit. That is, the business has regular customers that it trusts to sell goods and receive payment at a later date. That later date is usually within 30 days, though in some industries it can be up to 90 days.

If \$500 worth of goods are sold on credit, the transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Unearned revenue		+ Share cap	- Dividends	+ Revenues	- Expenses
	+ 500						+ 500	

Key concepts

How to record transactions in the sales process

3. Customer repayments for sales on credit

Customers who purchase goods on credit will (hopefully) make their repayments within the timeframe set by the business. For the previous example, when the customer pays their accounts receivable of \$500 in full, the transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Unearned revenue		+ Share cap	- Dividends	+ Revenues	- Expenses
+ 500	- 500							

Key concepts

How to record transactions in the sales process

4. Sales made in advance

It can be common for a popular business to ask customers to pay in advance. This may be for a custom order, or for a good that is in high demand.

A customer orders a \$2,000 item that will be delivered in 2 months time. The transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Unearned revenue		+ Share cap	- Dividends	+ Revenues	- Expenses
+ 2000			+ 2000					

Key concepts

How to record transactions in the sales process

5. Completing the job for sales made in advance

Imagine it is now 2 months later and we now have the item that the customer paid in advance for and we deliver it to them. The transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Unearned revenue		+ Share cap	- Dividends	+ Revenues	- Expenses
			- 2000				+ 2000	

Quick check

A business provides services to a customer. The cash has already been collected in advance. How will this be recorded on the accounting equation?

Cash increases and accounts receivable decreases.

Unearned revenue decreases and revenue decreases.

Cash increases and revenue increases.

Unearned revenue decreases and revenue increases.

Quick check

A business collects cash on account. How will this be recorded on the accounting equation?

Cash and accounts receivable increase.

Cash and accounts receivable decrease.

Cash increases and accounts receivable decreases.

Cash increases and revenue increases.

Key concepts

How to record transactions related to the purchasing process

1. Purchases for cash

The easiest accounting transaction related to purchases is buying items for cash. We have a cash outflow, decreasing our cash asset, but an inflow of whatever we've purchased (supplies, inventory or a service). If we purchased \$450 worth of paper for the printer, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 450		+ 450								

what happens in real life? In practice?

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 450		+ 450								- 450

Key concepts

How to record transactions related to the purchasing process

2. Purchases made on credit

For established businesses that have been operating for some time, it can be common for their suppliers to allow them to purchase items on credit. That is, they order and receive the goods now, and pay for them later. When are they paid for? It could be the end of the week, the end of the month, or a certain number of days (like 30) after the goods were delivered to the business. The contract between the business and the supplier will determine the payment terms. If we purchased \$5000 worth of inventory on credit from our supplier, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
	+ 5000				+ 5000					

Key concepts

How to record transactions related to the purchasing process

3. Making repayments for purchases on credit

Regardless of the terms of the contract between a business and its supplier, repayments must eventually be made. In the previous example, we are going to pay the supplier for the \$5000 worth of inventory we received. The transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 5000					- 5000					

Key concepts

How to record transactions related to the purchasing process

4. Prepayment of expenses

Some business expenses will need to be paid in advance. The most common type of prepayment is purchasing a year's worth of insurance at one point in time. If a business had to pay a \$12,000 insurance policy at the beginning of the year, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 12000			+ 12000							

Key concepts

How to record transactions related to the purchasing process

5. Using up prepaid expenses

At the end of the month, a business should recognise that part of the prepaid insurance policy has actually been consumed or used during the month. Assuming that the \$12,000 insurance policy covers 12 months, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
			- 1000							- 1000

Key concepts

How to record transactions related to the purchasing process

6. Recognising when we use inventory

When a business makes a sale that involves providing goods to a customer, it is similar to using a prepaid asset. However, there will be two transactions involved – the first is to recognise that the business has earned revenue and the second to recognise the use of the inventory asset. If a business makes a sale of goods for \$700, and the inventory was purchased for \$500, the transaction would be recorded as follows:

[illegible]

Key concepts

Do service businesses have Cost of Sales?

This is a tricky question! Service businesses certainly do use resources to provide that service to customers – for example, an accounting practice will likely use office supplies like pens, printer toner and paper.

However, it is difficult to figure out how much printer toner or paper was used to provide a specific service – so these costs are usually just recognised as Expenses rather than in Cost of Sales.

Other costs like wages for staff are also recognised as expenses rather than in Cost of Sales.

Quick check

A business purchases equipment on account (or on credit). How is this recorded on the accounting equation?

Equipment (asset) increases and cash decreases.

Equipment (asset) increases and cash increases.

Equipment (asset) increases and accounts payable (liability) decreases.

Equipment (asset) increases and accounts payable (liability) increases.

Quick check

A business pays for one year's business insurance on 1 January 2022. How will this impact on the accounting equation?

Prepaid insurance (asset) increases and insurance expense increases (equity decreases).

Cash (asset) increases and insurance expense decreases (equity increases).

Prepaid insurance (asset) increases and cash (asset) decreases.

Insurance expense increases (equity decreases) and accounts payable (liability) increases.

Quick check

A business pays cash on account (or on credit). What is the impact on the accounting equation?

Cash (asset) decreases and accounts payable (liability) decreases.

Cash (asset) decreases and accounts payable (liability) increases.

Cash (asset) decreases and supplies increases.

Cash (asset) decreases and accounts receivable (asset) decreases.

Key concepts

Purchase of non-current assets

In essence, we purchase non-current assets like we purchase other items – they are an increase in the asset, and

either:

- a decrease in the cash asset
- an increase in a liability because of a loan taken out for purchase

Below is an example where the business has purchased a motor vehicle for \$20,000 in cash. We decrease our cash asset and increase our motor vehicle asset.

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Motor vehicle		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 20,000			+ 20,000							

Key concepts

Recognising the use of property, plant and equipment (PPE)

Imagine the business has purchased a delivery truck. Every day that you use that truck, you use up some of the truck's useful life until one day, the truck is too old to run. How do we recognise that over a longer period of time, we slowly use up our PPE? There is an accounting accrual concept called "**depreciation**".

in practice, accountants create a sub-account under motor vehicle called **accumulated depreciation** for the asset. It acts like a tally of all depreciation over the life of the asset – allowing us to keep the original value of the asset recorded, and then a sub-tally of all of the depreciation recorded over time.

Assets			=	Liabilities	+	Equity			
Cash	Motor vehicle	Motor vehicle – accum dep'n		Accounts Payable		+ Share cap	- Dividends	+ Revenues	- Expenses
		- 1,000							- 1,000

Key concepts

How to record transactions related to long term loans process

1. Receiving the funds from a bank loan

The process of applying for a bank loan and all of the administrative work that goes with it is not recorded in our accounting records. This is because there is no FLOW of resources within or into or out of the business. The first point at which we will record a transaction is when the funds for the loan are deposited in our bank account. If a business borrows \$50,000 from the bank, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Bank loan payable		+ Share cap	- Dividends	+ Revenues	- Expenses
+ 50,000					+ 50,000					

Key concepts

How to record transactions related to long term loans process

2. Making loan repayments

The contract between the business and the bank will set the conditions of the loan – the total length of the loan (often called the term, such as 5 years), how often repayments are made and how much the minimum repayment should be each period.

The most common period of time is monthly repayments. However, it isn't as simple as paying creditors (decrease cash, decrease accounts payable) because technically, the repayments a business makes will often be repaying both loan principal and interest.

For our example of a \$4,000 repayment, assume \$250 is interest and the remainder comes off the balance of the loan. The transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Bank loan payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 4,000					- 3,750					- 250

Key concepts

How to record transactions related to long term loans process

3. Making interest-only repayments

There are some bank loans where the business will make repayments that are interest-only. This means at the end of the term (or life) of the loan, the entire original sum borrowed must be repaid. Each month, if a business had a \$20,000 interest-only loan for a term of 4 years and was required to make interest-only payments of \$350 per month, the transaction would be recorded as follows:

[illegible]

Key concepts

How to record transactions related to long term loans process

4. Repaying an interest only loan at the end of the loan term

In the prior example, at the end of the loan term (after 4 years), the business would need to repay the entire loan, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Bank loan payable		+ Share cap	- Dividends	+ Revenues	- Expenses
- 20,000					- 20,000					

Quick check

A business borrows \$5,000 from the bank. How is this recorded in the accounting equation?

Cash (asset) decreases and bank loan (liabilities) decreases.

Cash (asset) decreases and bank loan (liabilities) increases.

Cash (asset) increases and bank loan (liabilities) decreases.

Cash (asset) increases and bank loan (liabilities) increases.

Quick check

The business repays a bank loan. What is the impact on the accounting equation?

Cash (asset) decreases and bank loan (liabilities) increases.

Cash (asset) decreases and bank loan (liabilities) decreases.

Cash (asset) increases and bank loan (liabilities) increases.

Cash (asset) increases and bank loan (liabilities) decreases.

Key concepts

How to record transactions related to paying employees

1. Paying wage-earning employees

Employees who are paid an hourly rate will either have a business-wide agreement (called an Enterprise Agreement) or will rely on a government-mandated minimum hourly rate. Most businesses will pay their employees on a fortnightly basis. If employees at a business work 27 hours over a fortnight and the agreed pay rate is \$25 an hour, the transaction will be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Wages payable		+ Share cap	- Dividends	+ Revenues	- Wages expense
- 675 (27 x \$25)										- 675 (27 x \$25)

Key concepts

How to record transactions related to paying employees

2. Paying salaried employees

Salaried employees earn the same amount no matter how many hours they work (though their contract will include a minimum number of hours expected). Salaries are usually quoted per annum – or the amount expected to be paid over the entire year. However, these employees receive payments on a monthly or fortnightly basis. If a business has a manager who is on a salary of \$60,000 per annum, if payments are made monthly, the transaction would be recorded as follows:

[illegible]

Key concepts

How to record transactions related to paying employees

3. Recognising employee work at the end of the year

At some point, the business will reach the end of its financial year. But what happens if the pay period doesn't neatly align with the end of the financial year? What should be done in this situation? We treat it just like if a business received goods from a supplier and you agree to pay them at a later date (you purchase goods on credit). Thus employees have worked and we must recognise that we owe them for their efforts.

If a business had employees that worked 15 hours at a wage rate of \$24 per hour by the time we reached the end of the financial year, then a transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Wages payable		+ Share cap	- Dividends	+ Revenues	- Wages expense
					+ 360 (15 x \$24)					- 360 (15 x \$24)

Key concepts

How to record transactions related to paying employees

4. Paying employees after recognising prior work

Once we get to the 2nd pay period from our timeline diagram – employees will have worked more hours and the business will need to pay them for the work they did prior to the end of the financial year and after. If the ployees in the business worked 16 hours at a wage rate of \$24 AFTER the end of the year, the transaction would be recorded as follows:

Assets				=	Liabilities	+	Equity			
Cash	Inventory	Supplies	Prepaid expense		Wages payable		+ Share cap	- Dividends	+ Revenues	- Wages expense
- 744 (31 x \$24)					- 360 (15 x \$24)					- 384 (16 x \$24)

Quick check

A business pays wages expense of \$5,000. How is this recorded in the accounting equation?

Cash (asset) decreases and equity (wages expense) decreases.

Cash (asset) decreases and equity decreases.

Cash (asset) decreases and wages payable increases (liability increases).

Cash (asset) decreases and wages increases (asset).

Key concepts

How to record transactions related to shareholders

1. Issuing shares (simplified)

Issuing shares is a way that a business can receive an influx of cash (the other method is a bank loan which we covered earlier). The benefit of issuing shares over a bank loan is that no repayments are necessary and interest is not charged. However, shareholders do expect that the business will increase in value and if profits are made, that they should be rewarded for their investment through dividends.

If a business issues 20,000 shares at \$1 each, they should receive \$20,000 from investors. The transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Accounts Payables		+ Share capital	- Dividends	+ Revenues	- Expenses
+ 20,000					\$20,000			

Key concepts

How to record transactions related to shareholders

2. Paying dividends using cash

There is a complex process where businesses “declare” a dividend (creating a payable / liability) and then a few weeks later, make a cash payment to shareholders. In this textbook, we will be using a simplified process where dividends are simply paid without the “declaration” component. Dividends are paid per share, not per shareholders. Continuing our prior example, with 20,000 shares issued, if a business pays a dividend of \$0.05 per share, the transaction to pay \$1,000 in dividends would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Accounts Payables		+ Share capital	- Dividends	+ Revenues	- Expenses
- 1,000						- 1,000		

Key concepts

How to record transactions related to shareholders

3. Paying dividends using shares

If a company wishes to reward shareholders but not spend its cash, the other way to pay for a dividend is with more shares. Thinking back to our company with 20,000 shares and dividend of \$0.05 per share, worth \$1000 in cash. If we wish to pay using shares, the transaction would be recorded as follows:

Assets		=	Liabilities	+	Equity			
Cash	Accounts Receivable		Accounts Payables		+ Share capital	- Dividends	+ Revenues	- Expenses
					+ 1,000	- 1,000		

Quick check

A business pays a cash dividend of \$500. How is this recorded in the accounting equation?

Cash (asset) decreases and expense increases (equity decreases).

Cash (asset) decreases and accounts payable (liability) increases

Cash (asset) decreases and equity (dividend) decreases.

Cash (asset) increases and equity (dividend) increases.

Tutorial activities--Tutorial 3A

Recording the sales process

Transactions	Impact on the accounting equation $\text{Assets} = \text{Liabilities} + \text{Equity}$
Sales for cash	
Sales made on credit	
Cash collections from customers	
Sales made in advance	
Completing job collected in advance	

Tutorial activities--Tutorial 3A

Recording the purchasing process

Transactions	Impact on the accounting equation $\text{Assets} = \text{Liabilities} + \text{Equity}$
Buying an asset, paying cash	
Buying an asset, on credit	
Paying for a purchase made on credit.	
Paying for prepaid expense	
Using prepaid expenses	
Buying inventory on credit	
Paying for inventory purchased on credit	
Selling inventory to customers	

Tutorial activities--Tutorial 3A

Recording bank loans and long-term borrowings

Transactions	Impact on the accounting equation $\text{Assets} = \text{Liabilities} + \text{Equity}$
Borrowing money	
Paying a monthly repayment of the loan and interest	
Paying interest only	
Repaying the loan	

Tutorial activities--Tutorial 3A

Recording employee wages and salaries

Transactions	Impact on the accounting equation $\text{Assets} = \text{Liabilities} + \text{Equity}$
Paying wages	
Paying salaries	
Recording salaries and wages owed at the end of the year	
Paying salaries and wages that we owed from last year	

Tutorial activities--Tutorial 3A

Recording shareholder transactions

Transactions	Impact on the accounting equation $\text{Assets} = \text{Liabilities} + \text{Equity}$
Issuing shares	
Paying a cash dividend	
Paying a share dividend	

Tutorial activities--Tutorial 3A

A business makes sales on credit. What is the impact on the accounting equation?

- a. Cash increases and equity (revenue) increases.
- b. Accounts receivable increases and equity (revenue) increases.
- c. Accounts receivable increases and cash decreases.
- d. Accounts receivable decreases and equity (revenue) increases.

A business purchased inventory on credit. What is the impact on the accounting equation?

- a. Inventory increases and cash decreases.
- b. Inventory increases and accounts payable increases.
- c. Inventory increases and accounts payable decreases.
- d. I don't know.

Tutorial activities--Tutorial 3A

A business owes salary to employees at the end of the financial year. What is the impact on the accounting equation?

- a. Equity (salary expense) increases and salary payable decreases.
- b. Equity (salary expense) increases and cash decreases.
- c. Salary payable increases and equity (salary expense) decreases.
- d. I don't know.

Tutorial activities--Tutorial 3A

Here are some more transactions for Leah's business Marketing Love ♥ (ML). Marketing Love is now also selling corporate gift baskets to marketing clients to use as part of their marketing campaigns. They can be customised to suit a variety of different marketing campaigns. Complete this tutorial problem within group.

ML buys 100 corporate gift baskets, paying cash. The baskets cost \$35 each to buy.

ML sells 20 corporate gift baskets for \$100 each. The client pays in cash.

ML pays their business insurance for the year. The insurance for the year is \$5,000.

A client orders \$7,500 of gift baskets with special branding. They pay the full amount in advance.

To keep growing the business Leah invests \$15,000 of her savings into the business.

The business borrows \$20,000 from the bank.

Paid contractor wages. Employees worked 50 hours at \$21 per hour.

ML buys 200 more gift baskets on credit, costing \$35 each.

ML sells \$10,000 of gift baskets on credit to clients, with a cost of \$3,500.

Delivered the gift baskets to the client who ordered them in advance. These baskets cost ML \$2,625

ML pays for the monthly rent expense of \$2,000.

Leah pays for the corporate gift baskets purchased in transaction 8.

ML receives all the money owing from clients in full. This was a direct deposit into the business bank account.

One month of the prepaid insurance has expired (been used up).

ML pays a small dividend of \$2,000 to Leah.

Tutorial activities--Tutorial 3B

Record these transactions for Marketing Love (ML). They provide marketing services and also sell corporate gift baskets for clients to use in their marketing. How much profit did the business earn? How much cash does this business have? How much money do they owe? Who does the business owe money to? complete this problem individually.

ML creates a marketing plan for a new client. The client is sent a bill for this work, \$15,000

Borrows \$40,000.

ML pays rent for 6 months in advance. The rent is \$5,000 per month.

ML purchased \$30,000 of gift baskets on credit.

Sales made to customer on credit of \$20,000. The cost of the products sold were \$7,000.

Purchased supplies and paid cash of \$500.

Paid for half the inventory purchased.

Collected the cash from the client in transaction 1.

Paid wages expense. There are 5 employees who each worked 30 hours and are paid \$25 per hour.

Made a monthly loan repayment of \$2,000. This includes the monthly interest expense is \$600.

Record the rent used for this month.

A share dividend of \$1,000 in recorded.

The business has a new investor join the business. The new investor contributes \$20,000 of equipment to the business in exchange for shares.

Tutorial problems week 3

None

No tutorial problems for this chapter.

Assessment

Tutorial portfolio - In-class Online quizzes(practice):

This practice quiz is based on the week 1-2 learning materials.
You need to bring your laptop and install LDB in your computer.

You have 20 minutes one attempt to complete this quiz.

Assessment 2A Written Reflection is due in week 4 Sunday.

In Week 1, you will participate in a careers workshop activity. In this activity, you will reflect on your goals, career aspirations and how accounting may or may not be relevant to your future. After completing these activities in Week 1, you will write a 500-word reflection. This is due at the end of Week 4.